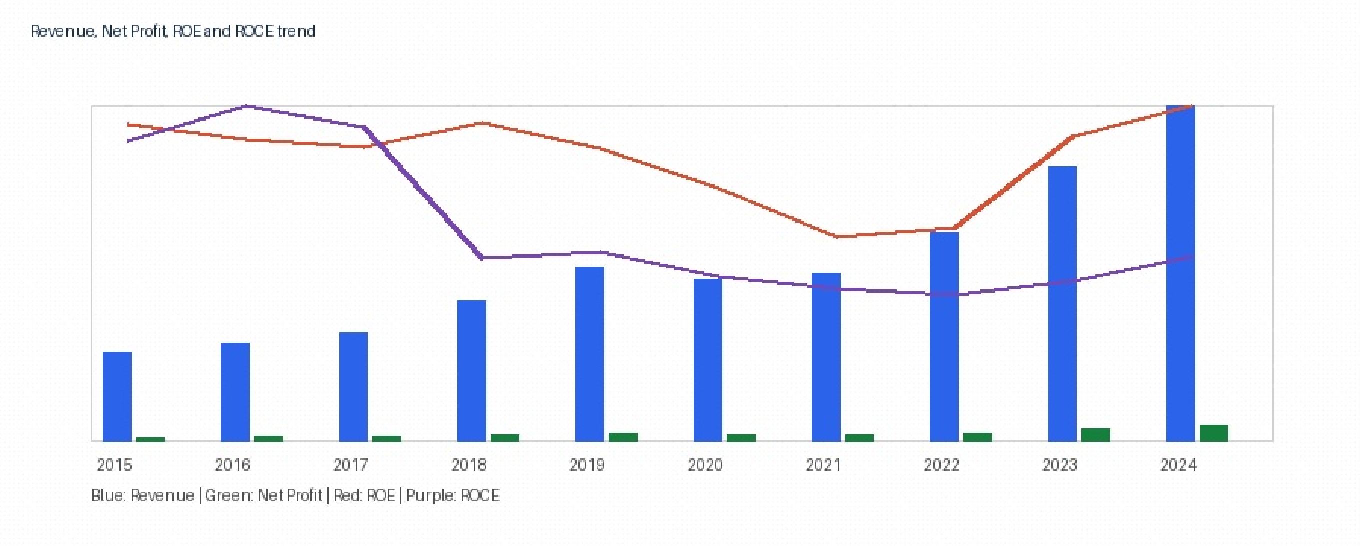
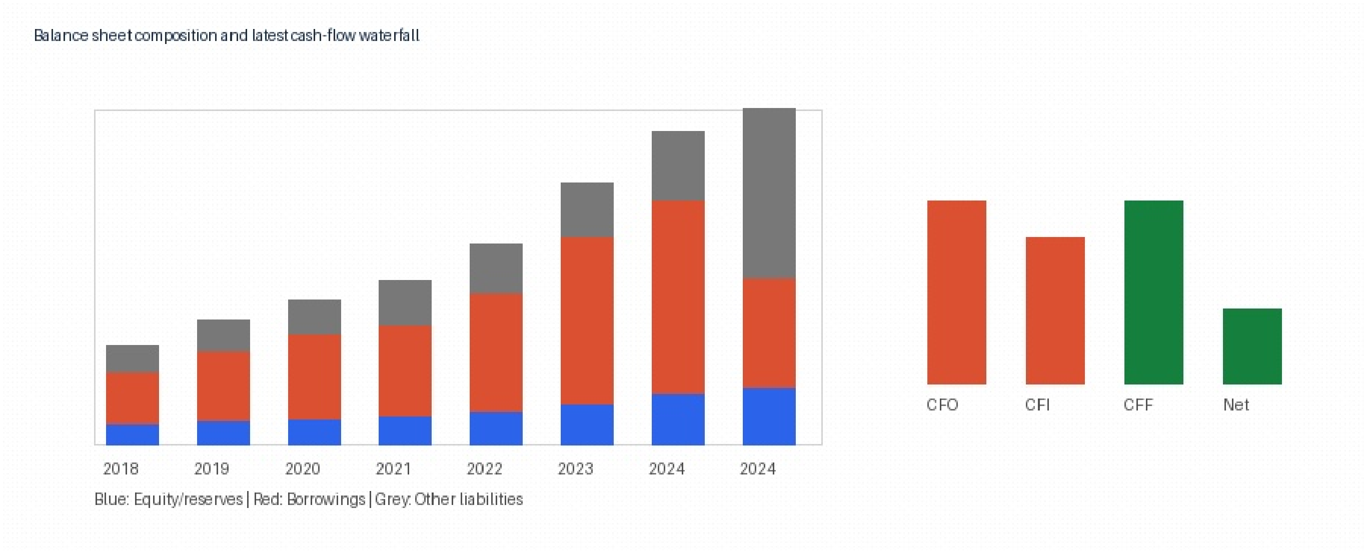
# TVS Motor Company Ltd (TVSMOTOR)

| ROE | ROCE | NPM |
|---|---|---|
| 26.22% | 17.10% | 4.54% |
| D/E | Revenue CAGR | FCF |
| 3.83 | 14.19% | -2,254.00 |

**Sector:** Consumer Discretionary | **Sub-sector:** Two Wheelers

'TVS Motor Company Ltd (TVSM) is engaged in manufacturing two-wheelers and its accessories






| Pros | Cons |
|---|---|
| Consistently high return on equity above 20% demonstrates exceptional capital efficiency | Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring |
| Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding | Free cash flow negative for 3 consecutive years raises concern about cash generation quality |
| Revenue growing slower than profits shows improving operating leverage and scale benefits | Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility |

**Capital Allocation:** Growth Funded by Debt